

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

GITI TIRE (USA) LTD., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-22

Served: August 27, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER DEFERRING MOTION TO DISMISS

I. Introduction and Procedural Background

On May 20, 2024, the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Complaint and Assignment, noting that Complainant Giti Tire (USA) Ltd. (“Giti”) had filed a complaint alleging that Respondent Flexport International LLC (“Flexport”) had violated 46 U.S.C. §§ 41102(c), 41104(a)(14), 41104(a)(15), 41104(d), and the Commission’s regulations at 46 C.F.R. §§ 545.4 and 545.5, in relation to the shipment of Complainant’s cargo from overseas ports to the United States. Specifically, Complainant asserts that Respondent wrongfully and unreasonably invoiced detention and demurrage charges, failed to include detailed invoice information required by 46 U.S.C. § 41104(d)(2), and charged four or five times the market rate for services. Complaint ¶¶ 13, 17, 23. Complainant states it has incurred over \$12,724,433 in damages from Respondent’s charging practices. Complaint ¶ 30.

On June 14, 2024, Respondent filed a Motion to Dismiss the Complaint (“Motion”) seeking dismissal of the Complaint because Complainant fails to plead sufficient facts, fails to allege practices in violation of the Shipping Act, and fails to identify any affected shipment, bill of lading, invoice or charge in support of its claims. Motion at 1-2. Previously, on April 5, 2024, Respondent filed suit in the United States District Court for the Northern District of California (“California Action”) to recover Respondent’s unpaid charges. Motion at 5. However, as Complainant then filed this proceeding with the Commission and requested a stay of the California Action pending the FMC resolution, Respondent views this as bad faith maneuvering to avoid paying owed invoices. *Id.*

On July 1, 2024, Complainant filed an Opposition to Respondent’s Motion to Dismiss the Complaint (“Opposition”). As part of the Opposition, Complainant requests leave to amend the Complaint if deemed necessary by the Commission. Opposition at 9-10. In response, Respondent filed a Memorandum in Further Support of Its Motion to Dismiss Complaint (“Reply”) on July 8, 2024.

For the reasons detailed below, Respondent’s motion to dismiss is deferred pending Complainant’s submission of an amended complaint.

Complainant has 10 days from the date of this order to submit its amended Complaint addressing the deficiencies described below.

II. Arguments of the Parties

Respondent argues that the Complaint should be dismissed because it fails to state a claim upon which relief can be granted. Motion at 6. Moreover, Complainant's allegations are mere conclusory recitations of elements of a Shipping Act violation, evidenced by Complainant's lack of identification of specific shipments, bills of lading, or invoices. *Id.* at 7. Additionally, Respondent's services, provided from 2021-2023, occurred during the passage of the Ocean Shipping Reform Act of 2022 ("OSRA 2022") which only affects invoices or charges issued after June 16, 2022. *Id.* at 9. Respondent further emphasizes that the Complaint does not contain sufficient facts to support the claims, because it does not plausibly allege a "practice" by Respondent within the meaning of 46 U.S.C. § 41102(c), and that reparations are not available for alleged invoice violations. Motion at 2, 6-14. Respondent characterizes this proceeding as a "thinly veiled retaliatory action by a delinquent shipper who purposefully neglected to return ocean containers despite repeated notices." *Id.* at 1 n.1.

Complainant contends that 8(a)(2) of the Federal Rules of Civil Procedure ("FRCP") simplifies federal notice pleading standards, and accordingly, the Shipping Act violations are sufficiently alleged in the Complaint. Further, the Complaint alleges "practices" on the part of Respondent. Opposition at 5-9. Complainant points to specific sections of the Complaint where it has alleged Shipping Act violations including failing to meet the minimum information requirements for detention and demurrage invoices in violation of 46 U.S.C. §§ 41104(a)(15), 41104(a)(14) and 41104(d); violating 46 U.S.C. §41102(c) by unjustly and unreasonably invoicing detention charges on weekends and holidays when container return was not available; and invoicing "unreasonable and excessive charges" by double billing charges to both Complainant and motor carriers. *Id.* at 2. Moreover, Complainant points out that the parties engaged in "extensive negotiations prior to resorting to this litigation," so therefore Respondent must know precisely which charges are in dispute. *Id.* at 3. Complainant adds that "if the complaint requires more detail, it requests leave to amend the complaint to include a more definite statement of its claims in accordance with 46 C.F.R. § 502.66." Opposition at 3.

III. Discussion

46 C.F.R. § 502.62(a) addresses the filing, form, and content of private party complaints seeking formal adjudication. Moreover, Commission Rule 502.66 allows the presiding officer to direct a party to state its case more fully and in more detail by way of amendment, and here, some clarification will enable the parties to proceed more efficiently with discovery. 46 C.F.R. § 502.66(a).

Complainant must amend the complaint to clarify its claims, and the basis for those claims. If the claims arise pursuant to NVOCC Service Arrangements ("NSAs") or NVOCC Negotiated Rate Agreements ("NRAs"), which have specific requirements regarding detention and demurrage, among other charges, those NSAs and NRAs and their effective dates should be identified. Similarly, if the claims arise under bills of lading, those must be identified. More specificity as to the genesis of the invoices may assist in identifying the shipments that were subject to alleged improper detention charges, duplicative billing, or excessive accessorial charges.

Complainant has alleged Shipping Act violations that occurred both before and after OSRA 2022, but it has only generally identified the timeline of alleged conduct as “between 2021 and 2023” and, “[t]hroughout 2022 and 2023.” Complaint at ¶ 11, ¶ 15. Regarding the invoices Complainant alleges “were issued in violation of 46 U.S.C. § 41104(a)(15),” which was codified by OSRA 2022, Complainant should identify what information of that listed in 46 U.S.C. § 41104(d)(2) is missing from the invoices. It is unclear from the general timeline of the Complaint and the lack of shipment identifiers whether Complainant is alleging that the incomplete invoices that totaled \$4,545,735 were issued prior to or after June 16, 2022. The specificity of the amount of the invoices that are alleged to contain incomplete information indicates that those invoices have been identified by Complainant and could be better identified in the Complaint, at a minimum by pleading more specific dates that alleged violations occurred. Complainant is reminded that claims seeking reparations are subject to a statute of limitations requiring that a complaint be filed within “three years after the claim accrues.” 46 C.F.R. § 502.62(a)(4)(iii).

Moving on to the allegations regarding duplicative billing, demurrage, detention, and other accessorial charges that are alleged to be excessive and unreasonable, it is helpful to consider the elements that must be established to prove a Section 41102(c) claim. These elements were specified by the Commission on December 17, 2018, as follows:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); 46 C.F.R. § 545.4.

Complainant did not allege all of the above elements. While it appears that Complainant alleges that § 41102(c) has been violated by the conduct described in ¶¶ 8 and 21-23, it is unclear if Complainant is alleging that these are practices that are “occurring on a normal, customary, and continuous basis.” 46 U.S.C. 41102(c); 46 C.F.R. § 535.4. In addition, the accessorial charges that Complainant references as “excessive in quantum” are not identified or described as a “practice or regulation [that] relates to or is connected with receiving, handling, storing, or delivering property.” Complaint at ¶ 23; *Id.*

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the findings set

forth above, it is hereby

ORDERED that Respondent Flexport International LLC's Motion to Dismiss be **DEFERRED. It is**

FURTHERED ORDERED that Complainant file an amended Complaint by September 9, 2024. If the amended Complaint is filed by that date and cures the defects as set forth above, the Motion will be denied as moot under separate order, and Respondent must file an answer within 10 days of the dismissal issuance. No further filings will be accepted from the parties relating to the instant Motion.

Requests for extensions of time to file the amended complaint and the answer are unlikely to be granted.



Linda S. Harris Crovella
Administrative Law Judge